

Motion 10 – Rule Update

Explanatory Memorandum

The Executive Committee and Strata Managers of Units Plan 4368, throughout the year of 2021/22, have identified several issues relating to our existing 'House Rules' for the complex, which were initially adopted by the Owners Corporation via Special Resolution at the Annual General Meeting held on 15 October 2019.

In accordance with *Section 107 of the Unit Titles (Management) Act 2011* the Rules of an Owners Corporation are taken to be agreements under seal between the Owners Corporation and each of its members, and between each member and each other member, under which the corporation and its members agree to be bound by the Rules. The Rules of a complex are the main vehicle by which an Owners Corporation can seek to control use of common areas, renovation work to units and behaviour of residents, all of which assist in ensuring a particular building is a safe and comfortable place within which to reside or operate a business. The Rules of a complex are enforceable via various mechanisms, including via issuance of Infringement Notices and submissions for orders via the ACT Civil and Administrative Tribunal if not complied with.

In order for the Rules of an Owners Corporation to be enforceable the Owners Corporation must ensure they are sufficiently detailed to avoid unintended interpretational issues, whilst also ensuring the Rules are compliant and do not attempt to override other section of the legislation.

When reviewing the current Southport Rules the document provides in its title that they are 'House Rules and Guidelines', although they were approved via Special Resolution as 'Rules' (enforceable under law). The way the current Rules are drafted suggests that they should only have been considered as informal 'House Rules and Guidelines', rather than being registered as official legislated Rules of the Owners Corporation given the general guidance points included within them and the ambiguities that exist in terms of their possible interpretations if the Executive Committee were to try and enforce them.

The updated Rule to be proposed at this Annual General Meeting are an amalgamation of prior 'House Rules' that we believe are enforceable after minor adjustment (adjustments made in the proposed Rules document), plus some additional sensible Rules drafted by lawyers working for other Owners Corporations managed by our current managing agents. The intent of these Rules is explained in the opening statement to the Rules document and we trust that these Rules meet the objectives of the collective Owners Corporation. If there are any questions or concerns in relation to these Rules please let our Strata Managers know by email to Julie.Edgerton@gradystrata.com.au via the Annual General Meeting so they can either be clarified, or adjusted on the night if appropriate.